



Due diligence

ESG risk management and compliance framework

ABOUT DUE DILIGENCE

Customers, governments and civil society organisations increasingly expect companies to do business with respect for people and planet. Companies are demanded to identify, prevent and reduce ESG risks in their supply chain; both upstream and downstream. This is also called 'due diligence' or 'ESG risk management' and can consist of the following steps:

1. The formulation of an ESG strategy.
2. Mapping your value chain.
3. Performing a risk assessment and prioritizing the risks.
4. Collaborating with value chain partners to address risks, as well as monitoring and communicating about your policies and progress.

Due diligence is becoming mandatory through legislation, varying per country. It is essential to integrate it throughout your organization: your management systems, policies and procedures.

OECD GUIDELINES AND UN GUIDING PRINCIPLES AS A BASIS

The [OECD Guidelines](#) and the [UN Guiding Principles](#) are the most widely accepted international guidelines that explain to companies how to perform ESG due diligence in their value chains. The OECD Guidelines are endorsed by 35 governments worldwide and offer a framework for companies to deal with sustainability issues such as child labour, environment and corruption. These governments expect companies with international business activities to operate in accordance with them. The recommendations of the OECD guidelines apply where local rules and regulations, or enforcement of these, do not suffice. It is important that companies know the social and environmental risks in their value chain, and take mitigating measures. Stakeholders can report suspected violations of the OECD guidelines to the National Contact Point in their respective country. The UN Guiding Principles distinguish the state's duty to protect human rights, the responsibility of companies to respect human rights, as well as the provision of access to effective remedy. Based on these three pillars of the UNGPs, more than twenty national action plans on business and human rights (NAPs) have been developed so far.

OECD Guidelines

Endorsed by 35 governments worldwide, providing a comprehensive framework for companies to address sustainability issues including child labor, environment, and corruption.

UN Guiding Principles

Three pillars framework: state duty to protect human rights, corporate responsibility to respect human rights, and access to effective remedy.



About US

Sustainability consulting and AI-powered intelligence



■ MSC HK

MSC HK is a sustainability strategy firm rooted in China and oriented toward the world. We drive the transition to a sustainable economy through providing consulting services to our global enterprise clients.

With a decade of experience, we integrate strategic thinking with practical execution, working alongside global enterprises to redefine growth—toward a future that is sustainable, intelligent, and globally connected, powered by Chinese insight.



■ Future Vision

Future Vision is an AI-powered business and sustainability intelligence assistant that helps entrepreneurs explore future business opportunities for sustainable growth.

Through Future Vision, executives can monitor ESG risks, track competitor insights and global business updates in real time, and connect with global organizations and expert networks.

Are you interested in our products or services? Visit our [website](#) and [Future Vision](#) to discover more about what we can do for you.



Ready to Transform Your Business?

Discover how our sustainability consulting and AI-powered intelligence can drive your company's sustainable growth.

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Contact

Get in touch with our ESG experts

■ Service Scenarios 1

- ESG Conflict Incident Response Plan and Handling Procedures
- ESG Risk Check and Evaluation
- ESG Rating Enhancement

Do you have questions or comments about the risks and recommendations? Or if you are currently grappling with ESG conflict incidents or sustaining financial losses as a result, please send email to jinxia@mscfv.com to reach out to us.

■ Service Scenarios 2

- Globalized Expansion & Localized Execution
- Sustainability Strategy & Growth

If you are struggling to crack new markets or go local, please contact jacobtomas@msc-world.com, we unblock international growth for you.

■ Service Scenarios 3

- Collaboration partners

We enable clients and partners to leverage our ESG-integrated growth engines –from sustainability strategy design to cross-border risk mitigation. Please contact leon@msc-world.com, partner with us to transform ESG risks into sustainable growth.



Need Immediate Assistance?

Our ESG experts are ready to help you navigate sustainability challenges and unlock growth opportunities.

[ESG Risk](#)

[Growth Strategy](#)

[Partnership](#)



Disclaimer

Important legal and usage information

■ Important Notice

This ESG Risk Check is provided for informational purposes only. Users assume soleresponsibility for all outcomes arising from its application. For material businessdecisions, consultation with accredited ESG specialists is strongly advised.

■ Legal Disclaimer

The risks and advice in the ESG Risk Check are based on public sources and are in line with the themes from the [OECD Guidelines](#) and the [UN Guiding Principles on Business and Human Rights](#). In the ESG Risk Check, gender-neutral descriptions are used where possible in describing risks. If risks are not applicable to both men and women, gender specific terms will be used.

The risks, identified by the ESG Risk Check, and information described and contained have been compiled from public online sources, which are subject to a reliability check based upon a reliability scheme before they are used. We do however not warrant or represent the correctness, accuracy, up-to-dateness, and completeness of the information processed, or wording of the risks used.

The list of countries and territories that is used in the ESG Risk Check is the [ISO 3166 standard](#), which is based on the official list of country and territory names as defined by the United Nations Statistics Division. For the world map Google Maps is used, this means that land borders and country names mentioned on this map are not the responsibility of MVO Nederland and may change resulting from international border disputes. For the product classification in the tool, the SITC codes are used, also established by the United Nations Statistics Division. The product list is complemented by services that are derived from the [UN ISIC system](#).

ESG risk information is not (yet) available for all countries and products, but this does not imply nor mean that no ESG risks will be present or occur. In some cases, it may occur that a proper source to describe a certain risk has not yet been found or identified.

Users downloading this free ESG risk report assume sole responsibility for all outcomes arising from its application. When utilizing insights for material business decisions, engagement with accredited ESG specialists is strongly advised.



International Standards

Based on OECD Guidelines and UN Guiding Principles on Business and Human Rights, ensuring alignment with globally recognized ESG frameworks.



Data Sources

Information compiled from verified public sources using ISO 3166 standards, UN Statistics Division classifications, and reliability-checked data.